CHAPTER

7

International Economics

"Economies are linked internationally through trade in goods and through financial markets".

- Dornbusch, Fischer and Startz

Learning Objectives

1. To explain the importance of international trade and different theories of international trade.
2. To provide an understanding about the exchange rate determination, variation in exchange rate and Balance of Payments.
3. To provide an insight into FDI and Trade.

7.1 Introduction

The subject 'International Economics' evolved from a simple theory of international trade was formulated to answer a few basic questions. The subject first originated in Western Europe on account of increasing importance of foreign trade in that part of the world. The contributions of classical economists like Adam Smith, David Ricardo, F.W. Taussig, Haberler, J.S.Mill and Bela Balassa shaped the subject matter of International Economics.



Haberler

International Economics studies the entire range of international economic transactions that consist of not only trade in goods and services but also capital flows, technology transfer, the rate of exchange, balance of payments, and issues relating to tariffs, protection, free trade, investment flows, role of fiscal and monetary policies pursued by individual countries.

7.2 Meaning of International Economics

International Economics is that branch of economics which is concerned with the exchange of goods and services between two or more countries. Hence the subject matter is mainly related to foreign trade.